



NIGERIAN PEOPLES AND CULTURE



NIGERIA'S MODERN ECONOMIC REALITIES

DR ABIMBOLA OYARINU

PhD History and Strategic Studies



LEARNING OBJECTIVES

At the end of the lesson, you should be able to:

- Trace Nigeria's economic development since 1960.
- Highlight the current economic problems the country is facing.
- Identify the cause of Nigeria's economic problems and the possible solutions.





INTRODUCTION

Nigeria is the most populous and the largest country in Africa. According to the 2006 census, the population of Nigeria stands at 140,431,790 million people, and by 2015 it was estimated at 180 million persons, making it the first in Africa and sixth most populated nation in the world after China, India, the USA, Indonesia and Brazil.





INTRODUCTION

The country is endowed with abundant natural resources ranging from solid minerals (crude oil, gold, tin, iron ore, niobium, lead, zinc, limestone, salt, etc.) to arable land with varieties of agricultural produce such as palm oil, cocoa, groundnut, beans, melon, corns, rice, among others. Agriculture was the hub of Nigeria's economy before the advent of Oil in commercial quantity. With the emergence of oil, the focus shifted from being an agricultural-dependent country to a crude oil-dependent nation.



NIGERIA AT INDEPENDENCE

Before independence, agriculture accounted for over fifty per cent of the GDP of Nigeria.

1960, agriculture absorbed over 75% of the workforce, while industry and other sectors absorbed the rest.

Development Corporations played a significant role in the regional political structure.

At independence, the Nigerian economy was on a part of growth as the country's GDP jumped from 1.89% in 1960 to 4.89% in 1965. Nigeria was tipped to be one of the 20 largest economies in the world by 1980, ahead of Malaysia. Today, the reverse is the case, and this is due to several reasons.





POST-CIVIL WAR PERIOD

Following the January coup, the counter-coup and the Nigerian Civil War, Nigeria's economic progress was summarily truncated as the military government destroyed the economic structure on which the regional political system was built.

By the 1970s, there was an oil boom, and the government did not save for rainy days. Soon after, there was a crunch in the oil market. Nigeria had left agriculture because of the easy oil money. Thus, the nation struggled to cope in the mid-1980s and austerity measures were introduced during the Buhari regime.

The IMF pressured African countries, including Nigeria, to adopt the Structural Adjustment Programme.





THE SAP ERA

The structural adjustment programme further weakened the economy as the Nigerian currency began a downward movement since then.

SAP destroyed the manufacturing base of the country as the economy was flooded with imported goods, which made local products uncompetitive due to price and quality.

There was another oil boom in the 90s, but the then Head of State – Sanni Abacha, looted the Nigerian treasury and kept the funds in foreign banks.



DEMOCRACY AND NIGERIA'S ECONOMY

In 1999, following the return to democracy, Nigeria recorded significant growth in GDP from 0.58% to 6.59% (Premium Times, 2023)

Under President Olusegun Obasanjo, Nigeria got debt relief of \$20 billion, Nigeria's foreign reserve improved as it jumped above \$64 billion. Nigeria's economy seems to be back on track.

Following the death of President Yar'adua, his Vice – Goodluck Jonathan took over, the savings of the previous administration were expended with reckless abandon, Nigeria's foreign reserve dropped to \$34 billion in 2015, even though oil prices stood at over \$100 for most of Goodluck's administration.





DEMOCRACY AND NIGERIA'S ECONOMY

Owing to shale oil production in the US, there was less need for Nigeria's crude. In 2014, the US (the largest buyer of Nigeria's crude) announced its reduced purchase of crude oil from Nigeria.

A Swiss-based consultant, Olivier Jakob once said, "It's a very plausible scenario that one day the U.S. won't need to import crude oil from Nigeria; the U.S. is awash with light crude. Nigeria crude may need to be placed at a discount to go to new markets in Asia".

Since Nigeria's crude oil production dropped and India replaced the US as the major buyer of Nigeria's crude, the country's budget has been in a deficit. It has been borrowing to balance its budget. Several austerity measures have been introduced, which Nigerians are struggling to cope it



CAUSES OF NIGERIA'S ECONOMIC WOES

- Over-dependence on crude oil as a major source of revenue for the government.
- Another cause of the economic problems in the country is the level of corruption.
- In the banking sector, insider abuses, non-adherence to the corporate governance code, and too many non-performing loans. The capital market is not left out, round-tripping and other corrupt practices have led to the crashes of share prices and the economic meltdown.
- Poor economic policies.
- The spate of violence and oil pipeline vandalization.
- Lack of economic planning/policy directions, untimely implementation of the national budget and unguided utterances.





SOLUTIONS

- Economic diversification
- Economic tutelage from a metropolitan state
- Curb corruption
- Provide electricity to boost manufacturing
- Build industrial parks and clusters
- Boost local refining capacity
- Improve the political-economic structure of the country
- Reduce the cost of governance
- Effective tax collection
- Invest in tourism



POP UP QUIZ

- What do you think is the major reason why Nigeria is experiencing an economic crisis?
- What solution do you propose to solve this problem?



CONCLUSION

In conclusion, Nigeria's economic problems will worsen if nothing is done to diversify the economy away from crude oil. Renewable energy is gradually becoming popular, hence, less need for crude.

Nigeria has all that it needs to be a great nation and one of its most vital resources are the people, the government should invest more in Nigerians.



SUMMARY

This study has examined the economic problems in Nigeria, causes and the way forward . Five causes of economic problems in Nigeria were identified. Solutions to push the economy forward were proffered



REFERENCES AND FURTHER READINGS

T. Falola and M. Heaton, A History of Nigeria (Cambridge, Cambridge University Press, 2008).

I. M. Ikpor, Nigeria's Economic Problems; Causes and the Way Forward, accessed
<https://www.readcube.com/articles/10.2139/ssrn.2827993>.



NIGERIAN PEOPLES AND CULTURE



THANK
YOU